Amazon.com, Inc.

AMZN NASDAQ

Buy	$268.45 ▲ 7.08%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.90T

AMZN: Dems Sweep Midterms, AI Capex Fears Become Amazon's Gain

WHAT HAPPENED

- AMZN ripped +7% on huge volume after Democrats swept the midterms — the market's read is that a Dem Congress means more scrutiny on reckless AI spending, which paradoxically HELPS mega-caps like Amazon because it pressures hyperscalers to show discipline (good for margins) while punishing the pure-play data center picks-and-shovels names (Credo down 10%, Vertiv-type names tumbling).
- Options flow is screaming bullish — call volume nearly 2x puts, and that $270 strike saw 39k contracts (almost 3x open interest). Someone with size thinks this keeps running into next week.

WHY IT MATTERS

Here's the counterintuitive thing: a Democratic sweep should scare Big Tech (more regulation, more antitrust), but the market is saying the capex discipline story matters MORE right now. Investors were getting nervous that hyperscalers were spending $100B+/year on AI with no return — now there's political cover for CEOs to pump the brakes, which flows straight to earnings. For Amazon specifically, this is a sweet spot: AWS still grows, but if they can dial back the gigawatt data center arms race, free cash flow explodes. Watch for Amazon to telegraph "capex efficiency" language on upcoming conference appearances — that would confirm the thesis and justify another leg higher.

POLICY & POLITICAL WATCH

With Democrats controlling Congress, three things to track: (1) renewed antitrust pressure on Amazon's marketplace practices — the FTC case is still alive and a sympathetic Congress could add fuel; (2) potential rollback of some Trump-era tariffs on Chinese goods, which would be a direct margin tailwind for Amazon retail since a huge chunk of third-party sellers source from China; (3) stricter AI safety/disclosure rules that favor incumbents who can afford compliance (AMZN, MSFT, GOOGL) over startups. Net-net the policy mix is mixed-to-positive — tariff relief and compliance moats likely outweigh antitrust noise in the next 6-12 months.

IS IT EXPENSIVE?

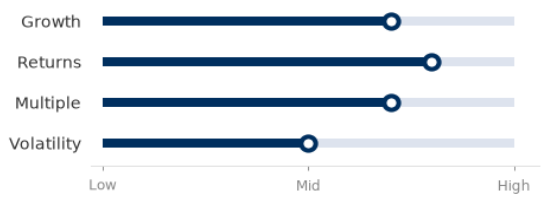
At ~39x forward earnings and roughly 18x EV/EBITDA, Amazon isn't cheap — you're paying $39 for every $1 of next year's profit. But that's actually reasonable for a company compounding AWS at 17-19% with retail margins still expanding and advertising now a $70B+ business growing 20%. Compared to where it traded in 2021 (50x+), there's room to re-rate higher if capex discipline becomes the new narrative.

WHAT COULD GO WRONG

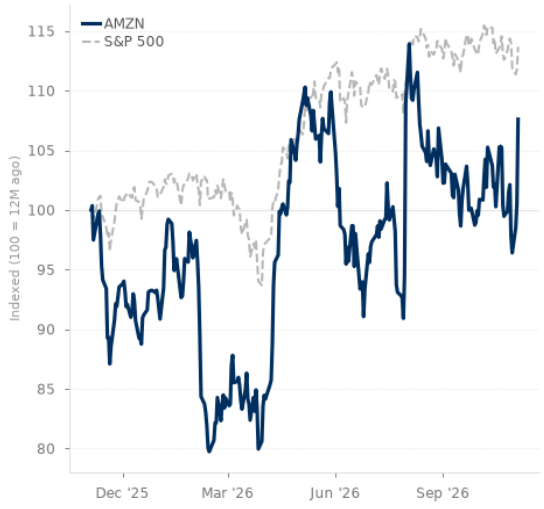
Key Data

Price (USD)	**$268.45**
12M Price Target	**$310.00**
Upside / (Downside)	**+15.5%**
Market Cap	**$2.90T**
FY2026E Revenue	**$712M**
FY2027E Revenue	**$790M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**39.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$285.00**	$272.00	**$250.00**
6 Months	**$320.00**	$290.00	**$240.00**
1 Year	**$350.00**	$310.00	**$230.00**
2 Years	**$410.00**	$350.00	**$220.00**
5 Years	**$550.00**	$450.00	**$250.00**
10 Years	**$900.00**	$650.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+4.6%) and Staples (+3.5%) — classic post-election relief rally plus bets that a Dem Congress means more consumer-friendly fiscal policy. Real Estate (+3%) ripping on rate-cut hopes.

COOLING OFF: Pure-play AI infrastructure (Credo -10%, data center REITs wobbling) — the "AI capex forever" trade is being questioned for the first time in 18 months.

ROTATION WATCH: Money is rotating OUT of AI picks-and-shovels and INTO mega-cap platforms that benefit from AI without bearing all the capex risk — that's exactly where AMZN sits. Also rotating into rate-sensitive sectors on dovish Fed expectations.

RELATED PLAY: If the "capex discipline" theme holds, GOOGL and META benefit for the same reason as AMZN. The short side of this trade is anything that depends on hyperscaler spending growing 30%+ forever — think VRT, CRDO, SMCI.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Same thesis — mega-cap with AI exposure but diversified revenue, benefits from capex discipline narrative.
- GOOGL (Alphabet): Cloud + Search + YouTube mix similar to AMZN's retail+AWS+ads — the market is rewarding diversification.

AMZN CONTEXT: Amazon is leading the Mag7 pack today because it has the cleanest "capex can come down without hurting growth" story — AWS doesn't need to match Microsoft's insane spend to keep growing. That relative positioning tells me AMZN should continue to outperform within the group over the next quarter.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Strong setup with a clear catalyst (post-midterm rotation + capex discipline narrative), but I'm not pounding the table at 52-week highs.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that antitrust headlines don't ruin your month.

ENTRY POINTS: Don't chase the 7% pop. Wait for a pullback to $255-262 (likely on any antitrust headline or macro wobble) to add. Scale in rather than one lump.

TIME HORIZON: 12-24 months — the catalyst is Q4 earnings in late January showing capex guidance for 2027, plus signs of holiday retail strength.

WHEN TO BAIL: If AWS growth drops below 15%, if FTC announces expanded structural remedies, or if the stock breaks $240 on heavy volume (that would mean the capex-discipline story got rejected).

HEDGING: Simplest hedge is to pair this with a small short in a pure-play data center name like VRT or CRDO — if AI capex really gets cut, you lose on AMZN but win bigger on the short. Or just buy a cheap put 10% below your cost basis as disaster insurance.

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